

The “Big 8”

“A description of the destination is not a substitute for a Roadmap.” KJC

	Create (Start)	Fix (Repair)	Enlarge (Robust)	Protect (Sustain)	Nurture (Addict)	Grow (New)
Outcome = Standard						
Gap: Point “A” vs. Point “B”						
Set Plan (Close Gap): Tactical-Execution-Tasks Milestones + Deadline						
<u>Process</u> : Machine Skills + Training + Best Practices						
<u>People</u> : Top Grade “A” Players						
Critical Drivers + Dashboard						
Accountability						
Coach, Guide, Success						

What:

Outcome = What are you Optimizing for? What is the “standard” you will set?

What is the Gap between where you are (Point “A” and your Outcome (Point “B”)?

How:

Set Plan to close the Gap = Strategy: Broad outline of the Plan. Must have Milestones and Deadline (due date).

Process = Machine: Tactics, Tasks, Executables, Skills + Training + Best Practices (Crisis: Tighten the Lug-Nut ... vs.... Progress: Keep the Lug-Nut Tight)

People = Top Grade to “A” Players with Scorecards.

Critical Drivers + Dashboards required to measure and monitor consistent execution.

Accountability = Culture

Coach, Guide, Success: Yellow Brick Road and Training

Leverage/Scale = Process & People

Leaders Inspire ... Managers Control.

Let the “Process” Control so the Leaders can do their job.

The “Big 8” Process becomes Self-Administering and Re-Enforcing.

The “Big 8” shifts the culture from High Maintenance to High Performance.

Current Results are **Measured** against a **Standard**.

The **Gap** (between actual Results and the Standard) is identified as the **Problem** or **Obstacle** that needs to be overcome)

The **Critical Drivers** and **Activities** are corrected or coached to create closure on the Gap.

Consistent Execution is required for a period of time and the process starts again.

The **Dashboard** and **Measurement** is what creates the consistent execution and **Culture of Accountability and Results**.

Sweating, long hours, good intentions and likability are poor excuses for **Results**.

The Big 8 – From *The Road Less Stupid*

Leaders inspire . . . Managers control. To be successful in business, we need both.

Unfortunately, most senior management teams and business owners spend the majority of their time reacting to the urgent and babysitting (begging) employees and, therefore, have very little available bandwidth for inspiring and leading. Interestingly, the thing business owners spend the majority of their time trying to do (controlling) is the least enjoyable activity for both the Owner and the “controlled” employee.

The Big 8 process does all the heavy “control” lifting for you. It’s a method to control the process without trying to control the people. The Big 8 process is sequential. For example, it does no good to create a plan without clarity on either the outcome or the obstacle, and for sure there is no ability to understand who should be on the team or how to measure them without the plan.

The key to effective “management” is clarity on the design, communication, and implementation of the components of the Big 8 process. The Big 8 is a series of progressive steps that shifts the organization from high maintenance to high performance and significantly reduces the time and effort required to “manage.” With the Big 8, your employees own their jobs and are accountable for their outcomes!

The Big 8 has two sections: “What” and “How.” Extreme clarity around each is critical to successful implementation of the Big 8 process.

WHAT

1. The specific measurable outcomes (or standards) you—as Owner/CEO/leader—have prioritized for the business.
2. The primary obstacle that is prohibiting the forward progress from Point A (where you are) to Point B (where you would like to be). Clarity on this “gap” is critical to understanding the problem and converting the problem into an opportunity. (Refresh your memory about Core Discipline #2—Separate the Problem from the Symptom by rereading “The 5 Core Disciplines of Thinking” at the beginning of the book.)

HOW

3. The plan or strategy your team has created (with your adult supervision and input) to overcome this obstacle. The plan will also describe the resources required to execute the plan as well as the timelines, including milestones (interim targets) and delivery dates.

4. The process, machine, tactics, tasks, and executables required to put rubber on the road and to make actual sustainable progress. The key is identifying the specific resources, skills, training, processes, systems, equipment, best practices, and operations required to drive results.
5. The team of A players who have a high internal, emotional need to succeed, the requisite execution intelligence (been there, done that), and a scorecard to set performance standards of excellence. (Sweat, long hours, good intentions, likability, loyalty, and tenure are sorry excuses for results and equally pathetic benchmarks for employee evaluation and compensation.) Without an individual scorecard that clearly outlines the deliverables required to earn an A, how can you possibly grade or coach each player's performance? (Read the CEO-centric chapter "A CEO Should *Never* Delegate . . ." for a complementary take on this Big 8 topic.)
6. The critical drivers and standards that must be executed, measured, and analyzed to ensure the accurate and timely delivery of the outcomes. Critical drivers are the "causes" that, when consistently executed, produce the desired "effects." (Take a look at the "Cause and Effect" chapter for more insights about critical drivers and outcomes.)
7. The great dashboards that display your critical driver results in a format that allows you and your team to have immediate optics. Regular comparison of the actual critical driver results produced against the benchmark standards established (and the trend line of these results) is critical to understanding where the opportunities are to adjust and correct the execution.

Without a dashboard, you get a story. Dashboards tell you what you need to know, not what you want to believe. Regular analysis is mandatory to establish reasons for the progress (or lack thereof) toward the stated outcomes and benchmark standards. Without the analysis, we have more data and information, but no knowledge about what to do differently.

As one of my mentors told me forty-five years ago: "Keith, there is hope and there are facts. When they collide, facts win every time." Or, as my friends in Dubai keep reminding me, "Believe in Allah, but tie up your camel."

8. The regular, candid (sometimes difficult, many times complimentary) accountability and coaching conversations with the team members to make the necessary corrections and adjustments.

Without coaching and consequences, good intentions and "the best I can" will become the excuse du jour. Without coaching and consequences, critical drivers and outcomes will become suggestions, not standards. (The firsthand example I include in "Help Me Understand" illustrates this vividly.)

The Big 8 is by far the most powerful tool in my business tool belt for creating clarity, ownership, accountability, and consistency with my team. This process is designed to be *the*

primary control and accountability tool for the outcomes we have prioritized . . . which frees me up to lead. The Big 8 process (which dovetails nicely with the “A CEO Should *Never* Delegate . . .” chapter) is the key to transitioning from Operator to Owner.

As the leader of the business, you are primary on the “What” portion of this process (items 1 and 2). The business needs you to determine the outcomes and obstacles. The beauty of the Big 8 is that your team is primary on the “How” (items 3 through 7). Your employees are responsible for creating the plan that drives the organization from here to there.

If they create the plan, it’s *their* plan and they *own* it. If they understand the definition of an A player, they own their performance in comparison with that standard.

If the team is primary on establishing the critical drivers and standards required to meet your outcomes, and they design the dashboards that provide optics on the team’s performance, they own that too.

One of the stupidest things management can do is dictate the plan on how something is going to be accomplished. Not only does a top-down approach destroy the basic human need for autonomy and self-direction, it erodes ownership, innovation, and engagement. I am not encouraging you to abdicate or create a free-for-all environment. Your oversight, input, and adult supervision are critical in the plan creation process, but so are your employees and team members. (This relates seamlessly with your role in creating the corporate culture, so I encourage you to read the chapter “Culture Is King (You Get What You Tolerate)” as well.)

Here it is on a bumper sticker: If they create it, they own it.

As the leader of the organization, you reenter the process and are primary on the coaching conversations (item 8). Great coaches guide, encourage, and teach. But the greatest coaches have the courage to create a culture of discipline and outcomes, which is why great coaches are always revered by their players. I love the U.S. Marine Corps slogan: “If you want the most, make it easy. If you want the best, make it hard.”

As you implement the Big 8, you will find two points where leverage is created:

- the machine that gets designed and built
- the people operating the machine

The better or more robust the machine, the more sustainable the progress in overcoming the obstacles. The better the team who design and operate the machine, the greater the efficiency and operational excellence (results). Getting the machine and the people right are critical to performance, optimization, and hitting the desired outcomes.

A word of caution: Missing any one of these steps is a prescription for slipping back into the time-consuming role of reacting, begging, and controlling. In other words, tired. You cannot babysit your way to high performance and accountability.

The Thinking Time possibilities for The Big 8 are larger than usual (and will take multiple sessions to work through), but the juice is definitely worth the squeeze. Do the work, get the results. You will be happy you did (so will your bank account)!

Thinking Time

General

- Where (exactly) have we fallen short on the Big 8 and what (exactly) do I need to do to create the accountability and culture of high performance?
- When I honestly evaluate our current progress, how much of my frustration is attributable to a miss on the Big 8 process? Where are the misses and what needs to be done now?

Outcomes

- What are the few specific measurable outcomes I am optimizing for? (The clear, measurable target on the wall.)
- What are the specific expectations I have about what these outcomes look like when they are achieved? (What does success look like . . . specifically?)
- How do I successfully communicate these outcomes and create 100% clarity with my team about my expectations?

Primary Gap/Obstacle

- What is the primary obstacle that is impeding our progress between Point A and Point B?
- If this obstacle is so obvious, why haven't we seen or addressed this obstacle previously? (Is this really the obstacle or is it a symptom disguising the real problem?)
- What sacrifices will we need to make or risks we will need to take to overcome this obstacle?
- By saying "yes" to solving this obstacle, what are we required to say "no" to?
- If we are to be successful in overcoming this obstacle, what must we start doing and what must we stop doing?
- What is the specific measurable gap between where I am and where I want to be?

Strategy/Plan

- What is the specific plan that will serve as our road map and guide on closing the gap so that we always know where we are in relation to the desired outcomes and have clarity on what needs to be executed and corrected?
- What are the specific measurable tasks that need to be performed to deliver these outcomes?
- Who will perform these tasks?
- What are the skill sets and execution intelligence required to perform these tasks?
- What are the resources (time, money, and people) required to successfully execute this plan? (See the “Options Analysis Matrix” chapter for clarity about allocating resources.)
- What is the projected outcome and specific target date for completion?
- What are the interim milestones (dates and progress points) that will tell me if we are on track for hitting the completion deadline?
- What is my strategy to overcome the primary obstacle in our way?

Machine

- What are the specific processes, tactics, tasks, executables, and resources required for something to actually get done?
- What are the skills, physical and personnel assets, training, and best practices required to successfully build this machine and keep it running?
- What is the sequence of events that will ensure that we build this machine in the correct order?

A Players

- What is the scorecard I have created for each person on the team? Without a scorecard to proactively measure and grade results and specific deliverables against a benchmark/standard, I have no ability to either grade or coach performance. (See Appendix 3 for an example of a CEO scorecard.)
- In evaluating my current team, where have I settled and, therefore, produced mediocrity?
- When I really look at the quality, capability, and performance of the people I have on my team, where is there an opportunity to reset expectations, train, upgrade, or replace?
- Knowing what I now know, are there any people on my current team that I would not rehire . . . and what am I prepared to do about it? (Where are the weak links?)
- What can I do to upgrade the quality of my choices for enhancing the number of A players on my team?
- Since the team I have represents the vast majority of the leverage I enjoy, what needs to be done to guarantee their success?
- Is part of the problem with my team a reflection of the culture I have created or tolerated? What are the changes I must make to our culture and how am I going to do that? (See both

“Culture Is King (You Get What You Tolerate” and “The Apology” for practical guidance on this topic.)

Critical Drivers

- I know that what gets measured is what gets managed, so what are the three to five critical activities that must be performed and measured on a regular basis to ensure significant progress toward my standards and outcomes? (The chapter “Cause and Effect” will be extremely useful for you to reread in thinking about critical drivers.)
- What are the specific measurable standards of performance I have for each critical driver activity?
- I know that anyone who doesn’t want to measure doesn’t want to be held accountable, so what accountability metrics do I need to establish to assess our actual performance against our standards?

Dashboards/Measuring

- Under the heading of transforming data into usable information that can be analyzed and provide me with valuable optics, what dashboard or scoreboard do I need to create and monitor so that I can easily see our progress on executing the critical drivers as well as achievement of our overall outcomes?
- What dashboard would I need to create so that my team can look at it and know exactly where performance is deteriorating from prior time periods or in comparison to the standard?
- Information is simply data that has been organized, which is the role of a dashboard. I need knowledge, not more information. The key to knowledge is analysis of the information. When I look at my dashboards, what are the insights and distinctions I can glean about our execution and performance in comparison to the standards we have set and outcomes we have prioritized?
- What critical or interdependent relationships do I need to analyze to be able to see what is actually happening to sabotage our results?
- Based on this analysis, what course corrections are needed?

Coaching/Consequences

- Under the theory that nothing can change until the unsaid is spoken, what are the hard conversations I know I need to have but have avoided in my misguided desire to keep the peace or minimize the disruption of the status quo?
- Where have I lowered my standards and tolerated mediocrity in my team’s performance?
- Who needs the hard coaching and reset on expectations for deliverables or culture?
- What are the clear consequences for missing the standards and outcomes we have set?
- Since my employees do not need to beg for their paychecks, why do I constantly find myself begging them to do their job, and what do I need to do about this problem?

- What can I do to consistently to communicate my appreciation and acknowledgment for a job well done?

NOW . . . Go Think! You will thank me later.

KJC

The Big 8

Engaging the Team

1. **The GAP:** What is the GAP between where we are and what we want?
 - **Current Status:** Where are we now (specifically... using metrics)? It is important to know where we are so that you can best set realistic objectives (Oz) and plot a realistic path to get there (Yellow Brick Road).
 - **Objectives:** What outcome are we trying to achieve? (Specifically, using metrics)
2. **Know the problems you are solving for** – What **obstacles** are in the way of achieving the objectives/outcomes you have set? Why are we not already there? What are the top 2-3 obstacles? Based on these obstacles, what should your top 3 priorities be for the coming year?
3. **What are the options (existing or created) to overcome the obstacles?** Based on the obstacles/priorities identified in #2 above, what are the various solutions (paths) available that will help you overcome the obstacles/challenges you face, and how will you measure success? (**Dashboards and Critical Drivers**) What path are you choosing? Given everything you know and the resources available, what is the best way to get the job done? (**Plan**). You need to really think this through. We don't have unlimited resources, so you have to work out the best way to get things done. This may mean changing what we have always done. If so, do not be afraid to propose the change. The status quo is not what we're going for here... rather the best thinking to tackle the problems/obstacles identified and get us to the objectives set. If you have been doing things the same way year after year, look for where there are opportunities to innovate, break, refresh and enhance.
3. **What resources are required to implement the Plan?** Now that you have chosen your path, what is it going to take to do it? What price needs to be paid or sacrifices made? (**Resource allocation, budget and prioritization**) Is this even realistic? If not then go back and re-think. This is where you get clear about budget setting and the priorities to be tackled. Don't be afraid to propose new ideas. There is never a problem in asking for resources, but remember that there are EBITDA targets to meet, too. We are striving for smart uses of resources requiring alternative thinking, not just solving the problem by adding another member of the team or other cost based resource. Come up with options and be prepared to justify budget requests.
4. **How will the resources be allocated** – Now that you have a budget in mind and have done your thinking, how will these resources get allocated, over what timeframe and what will be the expected results? (**Execution plan and success measurement**). Budget will typically be a combination of people costs and other costs. It's the total cost that I will look at and will want to understand... the priorities, the allocation of resources and how your execution plan will unfold. You must set my expectations and be clear about how results/progress will be measured so we can be clear about whether we are winning or losing, and how we will take corrective action throughout the year.